EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Langgangan, now Sta. Praxedes, Cagayan, was formally established when it became a township of Cagayan Valley by virtue of Executive Order No. 65 of Governor Leonard Wood on November 11, 1922. It was renamed Sta. Praxedes in 1977 by virtue of Republic Act No. 1449. It consists of ten (10) barangays with a total land area of 110 sq. km. It is classified as a fifth class municipality.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Sta. Praxedes for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Sta. Praxedes, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase/ (Decrease)
Financial Position			
Assets	348,057,495.69	290,670,354.56	57,387,141.13
Liabilities	36,519,873.53	41,526,977.77	(5,007,104.24)
Government Equity	311,537,622.15	249,143,376.79	62,394,245.36
Financial Performance			
Income	100,347,875.22	73,164,265.38	27,183,609.84
Expense	75,646,378.94	61,243,406.80	14,402,972.14
Appropriations, Allotments and Obligation			
Appropriations	105,884,722.00	81,971,423.52	23,913,298.48
Allotments	105,884,722.00	81,934,538.11	23,950,183.89
Obligations	77,008,277.20	68,020,445.52	8,987,831.68

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Sta. Praxedes, Cagayan for the year ended December 31, 2022 because the correctness and validity of the Property, Plant and Equipment account valued at ₱268,880,274.20 (net of depreciation) could not be ascertained due to the non-conduct of physical inventory and one-time cleansing procedures, and non-submission of the Report on Physical Count of Property, Plant and Equipment. The Audit Team was not able to apply other alternative audit procedures in determining the correctness and validity of said account.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The validity, existence, and reliability of the reported balance of Property, Plant and Equipment account amounting to ₱ 268,880,274.20 as at December 31, 2022 cannot be determined due to the non-conduct of the one-time cleansing procedures for its PPE and non-submission of the Report on Physical Count of Property, Plant and Equipment, contrary to COA Circular 2020-006 dated January 31, 2020 and Section 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

   We recommended that the Management undertake all the procedures prescribed in COA Circular No. 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of the PPE accounts and submit the Report of Physical Count of PPE.

2. Depreciation expense was not provided for Road Networks accounts, with a total carrying value of ₱ 141,730,609.03, as at December 31, 2022 contrary to Philippine Public Sector Accounting Standard 17 (PPSAS 17) and Item IV of COA Circular No. 2015-008 dated November 23, 2015, thus, affecting the fair presentation of the account in the financial statements.

   We recommended that the Management direct the Municipal Accountant to compute the depreciation expense, prepare the lapsing schedule and draw the necessary journal entry to take up depreciation expense for the current year, update the related accumulated depreciation and record the adjustment in the government equity account for unrecorded prior years' depreciation expense to present fairly the financial statements in accordance with PPSAS 17 and pertinent provisions of Item IV of COA Circular No.2015-008 dated November 23, 2015.

3. Out of the twenty (20) priority development projects under the 20% Development Fund of the Municipality, eight (8) projects totaling P10,250,000.00 were not implemented as at year-end, contrary to DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 2020-1 dated November 4, 2020, thus, optimal utilization of the fund for desired socio-economic development and environmental outcomes were not attained and timely benefits therefrom were not received by the intended beneficiaries.

   We recommended that the Management fast track the implementation of the current year and continuing development projects, to avoid accumulation of unimplemented projects, and to ensure the optimal utilization of the 20% Development Fund in the ensuing year, pursuant to DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 2020-1, for the benefit of the constituents of the Municipality.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	**-**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the seven (7) audit recommendations in the CY 2021 Annual Audit Report, four (4) were fully implemented, two (2) were partially implemented, and one (1) was not implemented.